

IWM RUSSELL 2000 SCANNER

SCAN (14:58 ET)

September 02, 2026 | 03:00 PM ET

3 setups identified | 0 A-Grade | 2 B-Grade | 1 C-Grade

Grade Summary

A - Breakout Setup (0)	B - Strong Setup (2)	C - Watch List (1)
	CWT	TXNM
	TARS	

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
B	CWT	California Water	Regulated Utiliti	\$50.15	+0.8%	\$3.1B	61M	+10.3	93%	Volume breakout from t
B	TARS	Tarsus Pharmaceu	Biotech Commercia	\$81.61	+10.2%	\$3.6B	33M	+34.0	96%	Large +10.22% gap on 1
C	TXNM	TXNM Energy, Inc	Regulated Utiliti	\$58.04	+0.3%	\$6.0B	80M	-2.6	98%	

SETUP METRICS	
Price	\$50.15
Day Change	+0.82%
Mkt Cap	\$3.10B
Float	61M sh
RS vs SPY	+10.3%
52W Hi Prox	93%
Base Tight	1.5
Vol vs Avg	2.96x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS

CATALYST / TODAY'S DRIVER

Volume breakout from textbook VCP coil (base_tight 1.5) on 2.96x average volume, suggesting institutional accumulation ahead of Oct 29 earnings. Forward catalyst: Q3 print in 57 days, potential rate-case approvals in California regulatory cycle, and continued defensive sector rotation amid mixed macro regime.

BUSINESS & POSITION

California Water Service Group is a regulated water utility serving 2 million people across California, Washington, New Mexico, and Hawaii. The company benefits from predictable rate-base growth, essential-service pricing power, and multi-year infrastructure investment programs approved by state regulators.

FACTOR & THEME

Defensive infrastructure play with exposure to Western U.S. water scarcity themes and climate-driven capital investment. Utilities sector is neutral in current regime, but regulated water utilities offer bond-proxy characteristics with equity upside from rate-base expansion-attractive during transitional macro conditions.

BREAKOUT SIGNAL

Close above \$50.15 on vol >2.9x of 20d avg

INSTITUTIONAL

Exceptional volume surge at 2.96x average on a low-volatility day (+0.82%) is classic institutional accumulation-large block buying without price disruption. The textbook VCP coil (base_tight 1.5, tightest in this cohort) confirms supply absorption. Zero insider activity in last 90 days; institutional ownership data unavailable from feed but typical for regulated utilities is 70-85% institutional.

EARNINGS

EARNINGS IN 57D

EARNINGS CONTEXT

Next earnings Oct 29 (57 days). Historical pattern shows Q3 typically benefits from summer usage in California service territories. No recent beat/miss data provided, but regulated utilities generally deliver low-variance results with upside driven by regulatory approvals rather than operational surprises.

KEY RISK

Thesis invalidates on a daily close below \$48.50, the lower bound of the VCP base, or on any adverse California Public Utilities Commission rate decision prior to earnings. Defensive sector exposure limits upside in a risk-on rotation.

ANALYSIS

Strongest disconfirming evidence: RS line NOT at new high, and utilities are not among this week's leading sectors despite the setup quality. The 1.5 base_tight and 2.96x volume surge on minimal price change is textbook institutional buying, but the mixed macro regime and defensive sector headwind cap this at high B-grade rather than A. RS vs SPY at +10.3 is solid but not leadership-tier. Conviction: Medium.

Signal: Close above \$50.15 on vol >2.9x of 20d avg

Vol vs Avg: 2.96x



TARS

Tarsus Pharmaceuticals, Inc.

\$81.61

+10.22%

RS vs SPY: +34.0%

B STRONG SETUP

\$3.6B Cap | 33M Float

Biotechnology | Theme: Biotech Commercialization | 52W Hi: 96% | Base Tight: 3.41 | Vol: 1.85x | RS/SPY: +34.0% | Above 20MA: YES | EARNINGS IN 63D

Setup Metrics	
Price	\$81.61
Day Change	+10.22%
Mkt Cap	\$3.58B
Float	33M sh
RS vs SPY	+34.0%
52W Hi Prox	96%
Base Tight	3.41
Vol vs Avg	1.85x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	-(data lag)

Analysis

Catalyst / Today's Driver

Large +10.22% gap on 1.85x volume likely driven by Lotilaner (Xdemvy for Demodex blepharitis) commercial traction data or prescriber adoption update. Forward catalyst: Nov 4 earnings (63 days) will be critical for revenue ramp trajectory, potential label expansion updates, or pipeline readouts in MGD or rosacea indications.

Business & Position

Tarsus Pharmaceuticals commercializes Lotilaner (Xdemvy), the first FDA-approved treatment for Demodex blepharitis, a common eyelid inflammation affecting ~25 million Americans. The company is expanding the Lotilaner platform into Meibomian Gland Disease (MGD) and rosacea, targeting large underserved ophthalmology markets.

Factor & Theme

Pure-play biotech commercialization story in specialty ophthalmology, benefiting from the broader Healthcare sector strength (+5.7% vs SPY this week). Taps into the biotech risk-on trade-small-cap, single-asset commercial execution with binary catalysts. Theme momentum is accelerating as investors rotate into healthcare on defensive and growth characteristics.

Breakout Signal

Close above \$81.61 on vol >1.8x of 20d avg

Institutional

Volume at 1.85x on a +10% move suggests broad buying but not overwhelming institutional block activity-this is likely a mix of institutional follow-through and retail FOMO. Zero insider buying in last 90 days is notable for a \$3.6B biotech; lack of insider conviction at these levels is a yellow flag. Institutional ownership data unavailable; recommend cross-checking 13F filings for top holders (likely growth-oriented healthcare funds given the profile).

Earnings

Earnings in 63D

Earnings Context

Next earnings Nov 4 (63 days). Commercial-stage biotech earnings are binary-revenue beat or miss vs. consensus drives re-rating. No historical beat/miss data provided, but as a recently commercial asset (Xdemvy approved 2023), Street is modeling aggressive adoption curves. Any revenue miss or guidance cut would be severely punished.

Key Risk

Thesis invalidates on any disappointing Xdemvy sales data or prescriber adoption metrics ahead of Nov 4 earnings, or on a daily close back below \$74.00 (prior resistance, now support). Single-product concentration risk is extreme-any safety signal, competitive entry, or reimbursement pressure kills the story. Wide base (3.41) and lack of RS line new high suggest this is mid-breakout, not early-stage leadership.

Analysis

Strongest disconfirming evidence: RS line is NOT at new high despite +34% RS vs SPY and 95.7% proximity to 52W high-this suggests prior leadership that faded and is now attempting a second leg, not a fresh emerging leader. The wide base (3.41) and zero insider buying in a small-cap biotech at all-time highs raise conviction concerns. Healthcare sector tailwind (+5.7%) and strong RS support the setup, but the mixed macro regime and lack of institutional confirmation signals (no RS line new high, no insider cluster) cap this at B. Conviction: Medium.

Signal: Close above \$81.61 on vol >1.8x of 20d avg

Vol vs Avg: 1.85x

